

7-1 Sarbanes-Oxley Act

During recent financial scandals, stockholders, creditors, and other investors lost billions of dollars. As a result, the U.S. Congress passed the **Sarbanes-Oxley Act**. This act is one of the most important laws affecting U.S. companies in recent history. The purpose of Sarbanes-Oxley is to maintain public confidence and trust in the financial reporting of companies.

Objective 1 - Describe the Sarbanes-Oxley Act and its impact on internal controls and financial reporting.

Sarbanes-Oxley applies only to companies whose stock is traded on public exchanges, referred to as *publicly held companies*. However, Sarbanes-Oxley highlights the importance of assessing the financial controls and reporting of all companies. As a result, companies of all sizes have been influenced by Sarbanes-Oxley.

Sarbanes-Oxley emphasizes the importance of effective internal control.

Internal control (The policies and procedures used to safeguard assets, ensure accurate business information, and ensure compliance with laws and regulations.)

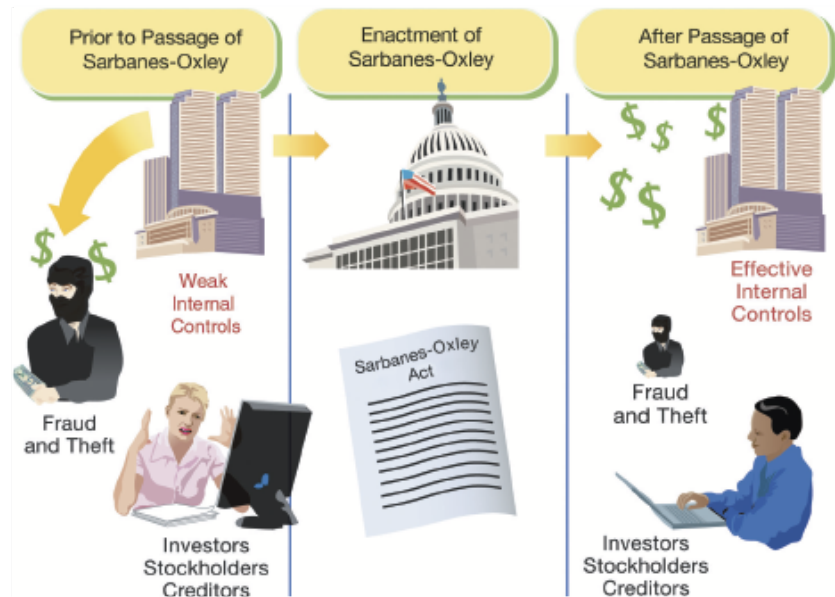
is defined as the procedures and processes used by a company to:

- Safeguard its assets.
- Process information accurately.
- Ensure compliance with laws and regulations.

Sarbanes-Oxley requires companies to maintain effective internal controls over the recording of transactions and the preparing of financial statements. Such controls are important because they deter fraud and prevent misleading financial statements as shown in [Exhibit 1](#).

Exhibit 1

Effect of Sarbanes-Oxley



Sarbanes-Oxley also requires companies and their independent accountants to report on the effectiveness of the company's internal controls. These reports are required to be filed with the company's annual 10-K report with the Securities and Exchange Commission. Companies are also encouraged to include these reports in their annual reports to stockholders. An example of such a report by the management of **eBay** is shown in [Exhibit 2](#).

Exhibit 2

eBay's Report of Compliance with Sarbanes-Oxley

Management's Annual Report on Internal Control Over Financial Reporting

Our management is responsible for establishing and maintaining adequate internal control over financial reporting. Our management, including our principal executive officer and principal financial officer, conducted an evaluation of the effectiveness of our internal control over financial reporting based on the framework in *Internal Control—Integrated Framework (2013)* issued by the Committee of Sponsoring Organizations of the Treadway Commission. Based on its evaluation under the framework in *Internal Control—Integrated Framework*, our management concluded that our internal control over financial reporting was effective as of December 31,

Source: eBay, Form 10-K for a Recent Fiscal Year Ended December 31.

[Link to eBay](#)

[Exhibit 2](#) is taken from a recent annual report (10-K) of **eBay**.

[Exhibit 2](#) indicates that the evaluation of internal controls is based on *Internal Control—Integrated Framework*, which was issued by the Committee of Sponsoring Organizations (COSO) of the Treadway Commission. This framework is the standard by which companies design, analyze, and evaluate internal controls. For this reason, this framework is used as the basis for discussing internal controls.